TAX PLANNING & COMPLIANCE

March-April 2023

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

1. Mr. Javed Sharif FCA is a chartered accountant in practice. He is a Partner of MS Javed Rashid and Co. Fuzzy Trading Limited is one of his regular clients in taxation and advisory services. His partner Mr. Harunur Rashid FCA has also been providing statutory audit service to the company for the last 02 (two) years and has also been appointed as the statutory auditor for next year in the last AGM. The company has pending tax disputes with income tax authority for the last 05 (five) years. The company has filed appeal before the Taxes Appellate Tribunal for the Assessment Year 2021-2022. The appeal involves a tax dispute BDT 30,000,000 encompassing impact of disallowances under 06 (six) heads of expenses including disallowances under Section 30 of the Income-tax Ordinance, 1984.

The company management wants to expedite the dispute resolution process and issued a request for quotation to Mr. Sharif to facilitate and take the appeal proceedings on behalf of the company. The company management prosed a basic fee of BDT 100,000 and a contingent fee of BDT 50,000 for each BDT 5,000,000 reduction in income tax demand consequent to the Tribunal Order. Considering the above, answer the following questions.

Requirements:

a) Is there any threat to compliance with the fundamental principles of ethics for professional accountants in accepting the proposed engagement? [Marks 2]

b) What factors Mr. Sharif may consider in evaluating the threats, if any? [Marks 2]

c) Should Mr. Sharif accept the proposed engagement as it is? If yes, justify your position, if not, suggest appropriate safeguard/modification to the proposed engagement. [Marks 3]

Answer to the Question# 1 (a)

The professional fee in the proposed engagement is contingent upon the outcome of appeal. According to paragraph 403.A of the International Code of Ethics for Professional Accountants issued by International Ethics Standard Board for Professional Accountants, in certain circumstances, contingent fees for non-assurance service might create threat to compliance with the fundamental principles, particularly self-interest threat to compliance with the principles of objectivity.

In the case under discussion, considering the scope of increasing the professional fee (i.e. self-interest), the professional accountant may attempt to maximize the appeal benefits by not wholly and exclusively relying on legal and professional means. Rather there is a risk that the professional accountant may attempt to rely on means that may pose a threat to objectivity. Such an action, if taken, may bring about disrepute to the profession.

Answer to the Question# 1 (b)

Mr. Sharif may consider the following factors in evaluating the threat to fundamental principles of ethics:

i. The nature of the engagement and basis of fee amount;

ii. The range of possible fee amount considering the contingent outcome and impact on objectivity;

iii. Firm quality control policies and procedure;

iv. Reviewing the client acceptance policy of the firm and check restriction, if any, in accepting this kind of assignment;

v. Whether an independent party/accountant can be involved in reviewing the outcome of the proposed engagement.

Answer to the Question# 1 (c)

Considering the threats to compliance with the fundamental principles, Mr. Sharif may prefer not to accept this engagement as it has been proposed. Instead Mr. Sharif may consider adopting the following safeguards if he is bound to accept the engagement as proposed.

i. Having a written service agreement with the clients mentioning the basis of professional fees;
ii. Refraining from adopting any means to get a favorable result of engagement that may discredit the profession;
iii. Involving an independent accountant to review the engagement and professional work who will not be a beneficiary from this engagement.

Mr. Sharif may also propose following modifications to the potential engagement and request the client to accept the same.

i. Officially inform the management of the client that accepting an engagement with fees contingent on outcome contradicts with the fundamental principles of International Code of Ethics for Professional Accountants;
ii. May propose a fee considering fee schedule prescribed by ICAB and professional hours required to perform the assignment;
iii. May involve a representative from client management in official hearing and other professional works.

2. You are a practicing Chartered Accountant working for an accounting firm reputed for tax consultancy services. Your accounting firm has been working as a retainer for XY Ltd for the last 5 years.

XY Ltd upon completion of its assessment for the assessment year 2020-21 shared the copies of the assessment order for getting appropriate tax advice from your firm. In relation to this, apart from the other disallowances, Tax Manager of XY Ltd (known to you for earlier acquaintance) drew your attention on the following and requested you, not to put this under appeal proceedings as this has resulted in reduction of tax liability instead of increase:

(1) Tk. 200 million paid to the Workers Participation Fund (WPF) for paying to the eligible beneficiaries of the company under the Bangladesh Labour Act 2006 has been disallowed on the ground that this is merely an appropriation of profit rather than an admissible expense
(2) However, while assessing the tax, the assessing officer instead of adding it back, inadvertently deducted it from the total taxable income. Consequently, the total taxable income was reduced to this extent, which resulted in reduction of tax liability amounting to Tk. 60 million as explained below:

Particulars	Amount (in million Tk.)
Taxable income declared by XY Ltd after deducting WPF amount as deductible expenses	4,000
Added back WPF amount as inadmissible expenses being considered by DCT as appropriation of profit	200
Taxable amount computed by the DCT	3,800
Tax liability as per XY Ltd (Tk. 4,000 million x 30%)	1,200
Tax liability as per DCT (Tk. 3,800 million x 30%)	1,140
Reduction in tax liability for WPF impact	60

Requirements:

a) Explain whether XY Ltd should take up the WPF disallowance matter in its appeal proceedings highlighting the consequences in the next years. [Marks 2]
b) Identify key fundamental principles and matters to be considered along with possible resolutions thereon for the above requests. [Marks 3]

Answer to the Question# 2 (a)

Yes, XY Ltd should take up this in the appeal proceedings considering the principle followed by the DCT is incorrect for obvious reason that WPF payment is not an appropriation of profit rather it is a statutory employee benefit mandated by law where the computation basis is derived from the profit before tax amount.

At Finance Act,2022, NBR proposed to disallow WPF at section 30 but subsequently at the time of passing the bill at National Parliament, it was withdrawn. So now it is a settled issue that contribution to WPF is allowable expenditure. The disallowances of such expenditure is totally unlawful and should be challenged at appeal forum.

If XY Ltd upon taking a minuscule view does not prefer for an appeal, the principle set by the DCT in disallowing the legitimate WPF expenses will be unchallenged, hence will be considered accepted by the Assessee, which consequences are grievous than the benefit it can gain from the simple arithmetic mistake, which can be corrected by the authority as per the law. Moreover, this will set a precedence for the future years, where the DCT will not make this arithmetic mistakes.

Answer to the Question# 2 (b)

Key fundamental principles:

Integrity: I need to be fair and honest while dealing professional matters in relation to XY Ltd.

Objectivity: I need to be aware about my obligations as a professional account that I cannot compromise my professional judgement because of bias, conflict of interest or influence of the tax head of XY Ltd.

Professional behavior: I should be aware of my obligation to comply with relevant laws, regulations, company policies and avoid any action that may bring discredit to the profession

Considerations:

Identify relevant facts:
Consider the firm's policies, procedures and guidelines, best practice and, with legal assistance if required, applicable laws and regulations. Consider whether it is my proper role to manage this sort of issue.

Identify affected parties:
Key affected parties are my firm if I do not maintain the professional ethics, Tax authorities for possible loss of revenue for the error made by them.

Possible course of action:

I should first evaluate the threat to the above-mentioned principles brought about by the conflicting interests in view of my acquaintance with the Tax Head of XY Ltd. Accordingly, considering the threats exists, even if I believe that those can be managed, I should still consider declaring the conflict of interest to the appropriate authority of the firm including my partner and thereafter I would consider advising the following:

i) Explaining that we should not only file appeal for the issues against our client but also would notify the error made by tax authority, which resulted in loss of tax revenue of Government
ii) This will help my client to build transparency, safeguard to their reputation and establish credibility, which may encourage the tax authority to examine other matters favorably, where my client is genuinely aggrieved
iii) I will document the above and keep my relevant partner informed

3. Mrs. Raka, after completing 25 years of service, went for a voluntary retirement scheme on 31st December 2021 as declared by the company. Immediately after the retirement, Mrs. Raka started her own business in the areas where she excelled her skills and insights over the years. In relation to this, Mrs. Raka following further information are available for the income year 2021-2022:

A. Income from salary (1st July 2021 to 31st December 2021):

i) Total Salary and allowances transferred to the bank account of Mrs Raka for the period from Jul'21 to Dec'21 was Tk. 48,00,000 after deduction of salary tax Tk. 600,000, provident fund own contribution Tk. 390,000 (company contributed the similar amount) and staff loan Tk. 210,000.

ii) As part of the voluntary retirement scheme, Mrs. Raka received 9 month's gross salary as ex-gratia payment (you need to compute the amount)

iii) Apart from the above, Mrs. Raka received following amount during final settlement after 31st December 2021:

Description	Amount (Tk.)
Provident fund (funded, recognized by National Board of Revenue)	1,00,00,000
Gratuity (funded, recognized by National Board of Revenue)	2,75,00,000

iv) Apart from the taxes deducted on salary paid for the period from July to December, an additional tax of Tk. 20,00,000 was withheld from Mrs. Raka during the final settlement of her dues from the company

v) The break-up gross salary: 65% basic salary, 30% house rent allowances and 5% fixed incentive bonus

vi) Consider Mrs Raka had made sufficient investment to be eligible to claim full tax rebate u/s 44(2) of the ITO 1984

B. Income from distribution business for distribution of consumer goods in Bangladesh (1st January 2022 to 30th June 2022):

i) Value of sales for supply of goods to different retailers was Tk. 2,00,00,000 against which Tk. 45,000 was collected by the company at source u/s 53E(3) of the ITO, 1984

ii) Overall gross margin on sales was average 5%, on the other hand overall distribution costs for distributing the products as mentioned above was 80% of the gross margin

iii) Tax withheld above u/s 53E(3) is considered as minimum tax u/s 82C of the ITO 1984

C. Other source of income (1st January 2022 to 30th June 2022):

i) Total income generated from Chicken farm for the said period was Tk. 400,000

ii) Total income generated from Fish Hatchery for the said period was Tk. 700,000

Requirements:

a) Total income [Marks 6]

b) Net tax liability [Marks 4]

Answer to the Question# 3 (a)

Mrs Raka
Income Year:2021-22
Assessment Year: 2022-23

Computation of total income

Heads of Income	Note	Amount (Taka)	Amount (Taka)	Amount (Taka)
Income from Salary: (Section 21)				
From July'21 to December'21				
Basic salary	1		3,900,000	
House rent allowances		1,800,000		
Less: exemption Tk. 25,000/month		150,000	1,650,000	
Incentive bonus			300,000	
PF contribution by the company			390,000	
Ex-gratia payment			9,000,000	
Received from recognized provident fund		1,000,000		
Exemption full (as para 21(b) of the 6th Schedule Part A of the ITO 1984)		1,000,000	-	
Received as Gratuity		27,500,000		
Exemption (as para 20 of the 6th Schedule Part A of the ITO 1984)		25,000,000	2,500,000	17,740,000
Total Income from Salary				17,740,000
Income from distribution of consumer goods business (u/s 82C)	2			200,000
Income from other source: (Section 33)	3			1,100,000
Total Income				**19,040,000**

Answer to the Question# 3 (b)

Net tax liability

Tax liability from Salary income	4	3,685,300
Tax liability from Distribution business	2	50,000
Tax liability from other sources of income	3	5,000
Gross tax liability		3,740,300
Tax deducted at source	5	(2,645,000)
Net tax liability		1,095,300

Note-1: Calculation of Gross salary per month and break-up salary

Amount credited to bank (Jul-Dec) 2021		4,800,000
Add: Tax deduction		600,000
Provident fund own contribution		390,000
Staff loan		210,000
Gross salary for the period (Jul-Dec) 2021		6,000,000
Gross salary per month (1/6th)		1,000,000

Break-up salary	For 1 month	For 6 months
Basic (65%)	650,000	3,900,000
House Rent (30%)	300,000	1,800,000
Fixed incentive bonus (5%)	50,000	300,000
Gross salary per month	1,000,000	6,000,000

Note- 2: Income from distribution business and tax liability
Distribution business

Value of sales for supply of goods to different retailers Tk20,000,000.

Gross margin @ 5%	1,000,000	
Less: Distribution expenses @80%	(800,000)	
Net income		200,000
Tax @ 25% being the assessee remains at highest slab @ 25%		50,000
Withholding tax u/s 53E(3)		45,000
Minimum tax (higher of WHT Tk. 45,000 and Tk. 50,000)		50,000
Tax liability on Distribution Business		50,000

Note- 3: Income from Chicken farm and Fish Hatchery and tax liability

Income from Chicken farm		400,000	
Income from Fish Hatchery		700,000	
Total income			1,100,000
Tax calculation as per SRO no:157 dated 01/6/2022			
1st Tk. 10,00,000 @ 0%	1,000,000	-	
Balance (next slab up to Tk. 10,00,000) @ 5%	100,000	5,000	
	1,100,000	5,000	
Tax liability from income from Chicken Farm and Fish Hatchery			5,000

Note -4: Calculation of Tax liability on salary income considering the rates applicable for Female person as per the Finance Act, 2022:

Tax		Slab	Rate	Amount (Taka)
on 1st		350,000	0.0%	-
next		100,000	5.0%	5,000
next		300,000	10.0%	30,000
next		400,000	15.0%	60,000
next		500,000	20.0%	100,000
Balance		16,090,000	25.0%	4,022,500
Total		17,740,000		**4,217,500**
Rebate:	**Tk. 17,740,000 x 20% x 15%**			**(532,200)**
Net tax liability after tax rebate				**3,685,300**

Note-5: Withholding tax in Bangladesh:

On salary income (July to Dec)'21	600,000
On final settlement	2,000,000
On distribution business (u/s 53E(3))	45,000
Total withholding tax in Bangladesh	2,645,000

4. Mobile Finance Limited, hereinafter referred to as "MobiFin," is a non-listed limited liability company registered under the Companies Act 1994, offering a wide range of mobile financial services, including mobile transactions (cash-in, cash-out, send money, etc.), utility bill payment, in-store and e-commerce payment, inward remittance, salary disbursement, mobile recharge, and other value-added financial services. The company was incorporated on January 01, 2021, and it is a fully owned subsidiary of a private commercial bank in Bangladesh. Find below the financial information of the company.

Mobile Finance Limited
Statement of Profit or Loss and Other Comprehensive Income
For the period ended December 31, 2021

Particulars	**Amount in Tk.**
Revenue	290,230,000
Cost of services	(87,340,000)
Gross profit/(loss)	**202,890,000**
General and administrative expenses	(36,000,000)
Selling and marketing expenses	(74,000,000)
Profit/(loss) from operations	**92,890,000**
Non-operating income	27,000,000
Net profit/(loss) before income tax	**119,890,000**
Income tax expenses	(3,500,000)
Net profit/(loss) after income tax	**116,390,000**

Mobile Finance Limited
Statement of Financial Position
As at December 31, 2021

Particulars	**Amount in Tk.**
Assets	
Non-current assets	
Property, plant & equipment	238,255,556
Intangible assets	64,078,032
Total non-current assets	**302,333,588**
Current assets	
Investment in securities	200,000,960
Advance, deposit & pre-payments	121,402,340
Inventories	88,900,600
Receivables from customers	32,320,735
Cash and cash equivalents	77,875,324
Total current assets	**520,499,959**
Total assets	**822,833,547**
Shareholders' equity and liabilities	
Shareholders' equity	
Paid up capital	50,000,000
Retained earnings	116,390,000
Total shareholders' equity	**166,390,000**
Non-current liabilities	**283,898,200**
Current liabilities	
Operational payable	203,987,320
Others payable	44,274,776
Provision for expenses	120,783,251
Provision for income tax	3,500,000
Total current liabilities	**372,545,347**
Total liabilities & shareholders' equity	**822,833,547**

Other information:

i) Property, plant, and equipment include furniture and fixtures for Tk. 12,000,000, a new motor vehicle for Tk. 18,000,000, and machinery for Tk. 208,255,556. All property, plant, and equipment are brand new and have not been previously used in Bangladesh. The company has accounted for depreciation for the property, plant, and equipment for Tk. 63,764,564.

ii) Intangible assets include Tk. 20,000,000 for a license fee for 25 years for providing mobile financial services, Tk. 32,000,000 for imported computer software, and Tk. 12,078,032 for Bangladeshi-made computer software. The company has provided Tk. 6,407,803 for the amortization of the intangible assets.

iii) General and administration expenses include Tk. 1,734,720 for entertainment expenses, royalty of Tk. 1,750,650, technical assistance fees of Tk. 820,340, and pre-commencement expenses of Tk. 500,000.

iv) During the year, the company paid perquisites of Tk. 1,850,000 each for 7 employees, including a disabled female employee.

v) All transactions of the company have been made through the banking channel. However, in a special circumstance, the company made a cash payment of Tk. 4,025,000 for government charges during the year.

vi) None of the company's customers are a tax-deducting authority as per the Income Tax Ordinance, 1984. Therefore, no deductions have been made during the year.

Requirements:

a) Compute total income of the company for the assessment year 2022-2023. [Marks 15]

b) Compute tax liability of the company for the assessment year 2022-2023. [Marks 15]

Answer to the Question# 4 (a)

Mobile Finance Limited
Computation of total taxable income
for the assessment year 2022-2023

Particulars	Amount	Amount
Net profit as per accounts		**119,890,000**
Less: Non-operating income for consideration at separate head		27,000,000
Net Profit from business operation		**92,890,000**
Add: inadmissible expenses & expenses to be considered separately		
Accounting depreciation [for consideration as per 3rd schedule]	63,764,564	
Amortization of intangible assets [for consideration as per 3rd schedule]	6,407,803	
Entertainment expenses [for consideration as per rule-65]	1,734,720	
Excess perquisites u/s 30(e) (note-5)	5,100,000	
Royalty & Technical assistance fees [for consideration as per sec. 30(h)]	2,570,990	
Pre-operating exp. [for consideration as per para-10B of 3rd sch.]	500,000	80,078,077
		172,968,077
Less: admissible expenses		
Tax depreciation as per 3rd schedule (note-1)	95,415,000	
Amortization of intangible assets as per 3rd schedule (note-2)	10,039,016	
Amortization of pre-operating exp. as per para-10B of 3rd sch. (note-3)	100,000	
Royalty & technical assistance fees as per sec. 30(h) (note-4)	2,570,990	108,125,006
Profit before considering entertainment expenses		**64,843,071**
Less: entertainment expenses (note-6)		1,316,861

Profit from business after entertainment expenses		**63,526,210**
Less: Disallowances u/s 30 for consideration u/s 30B		
Excess perquisites	5,100,000	
Entertainment expenses [1,734,720-1,316,861]	417,859	5,517,859
Profit from business excluding disallowances u/s 30		**58,008,351**
Income under section 30B		
Excess perquisites	5,100,000	
Entertainment expenses	417,859	**5,517,859**
Other income		
Non-operating income	27,000,000	
Income under section 19(27) (note-7)	680,500	**27,680,500**
Total taxable income for the assessment year 2022-2023		**91,206,710**

Note-1:Tax Depreciation as per 3rd schedule - property, plant & equipment

Items	Amount	Normal depreciation		Initial depreciation		Total dep.
		Rate	Amount	Rate	Amount	
Furniture & fixture	12,000,000	10%	1,200,000			1,200,000
Motor vehicle*	2,500,000	20%	500,000			500,000
Machinery**	208,255,556	20%	41,651,111	25%	52,063,889	93,715,000
	222,755,556		**43,351,111**		**52,063,889**	**95,415,000**

* Cost of motor vehicle shall not exceed Tk 2,500,000 for the purpose of depreciation.
** Initial depreciation applied for first time use of machinery in the business

Note-2: Amortization of intangibles as per 3rd schedule

Items	Amount	Amortization	
		Rate	Amount
Imported software	32,000,000	10%	3,200,000
Bangladeshi software	12,078,032	50%	6,039,016
	44,078,032		9,239,016
License fee for 25 years	20,000,000		800,000
	64,078,032		**10,039,016**

Note-3: Amortization of pre-operating expenses as per 3rd schedule

Amount	500,000
Rate	20%
Amortization	**100,000**

Note-4: Royalty & technical assistance fees

Royalty	2,750,650
Technical assistance fee	820,340
	3,570,990
Allowable limit:	
10% of disclosed net profit from business	9,289,000
Thus, no disallowances as the claim is within limit	

Note-5: Excess perquisites

Allowable perquisites for ordinary employees is Tk. 1,000,000 each but Tk. 2,500,000 for disabled person

Perquisites for 6 employees [18,50,000 x 6] =	11,100,000
Allowable limit [10,00,000 x 6] =	6,000,000
Excess perquisites to be disallowed u/s 30(e) :	**5,100,000**
Perquisites of the disable person is within the limit.	

Note-6: Allowable entertainment expenses

Profit before Entertainment expenses	64,843,071
Allowable limit:	
4% on first 1,000,000	40,000
2% on rest amount	1,276,861
	1,316,861

Note-7: Notional income under section 19(27)

Capital & reserve	166,390,000
10% of the same	16,639,000
Cost of motor vehicle	18,000,000
Excess amount	1,361,000
Taxable income (50% of excess amount)	**680,500**

Answer to the Question# 4 (b)

Mobile Finance Limited
Computation of tax liability
For the assessment year 2022-2023

Particulars	Income	Rate	Tax liabilities
Profit from business excluding disallowances under section 30	58,008,351	27.50%	15,952,297
Other income	27,680,500	27.50%	7,612,138
Tax liability from regular sources	**75,488,851**		**23,564,435**
Minimum tax under section 82C(4) proviso			
Revenue	290,230,000		
Less: closing receivables	(32,320,735)		
Gross receipts	257,909,265		
Minimum tax (0.1% of gross receipt instead of 0.6% due to 1st year of operation)			**2,579,093**
Tax liability			
Higher of regular tax and minimum tax			23,564,435
Tax on income under section 30B	5,517,859	27.50%	1,517,411
Total tax liability for the assessment year 2022-2023			**25,081,846**

5. Exotic Hotel Services Bangladesh Limited is a company incorporated in Bangladesh. It has constructed a multistoried five-star hotel in Dhaka. The hotel is constructed under the guidance of Rosher Water

Garden Hotel Limited, a company incorporated in France and is maintaining a global hotel chain across the world. Rosher Water Garden Hotel Limited also holds 25% ordinary shares in Exotic Hotel Service Limited. Exotic Hotel Services Limited uses the trademark of Rosher Water Garden Hotel and runs the hotel under the name of Rosher Bangladesh Water Garden Hotel. Exotic has adopted all the operational and service guidelines and process of Water Garden Hotel Limited. Rosher also maintains strict quality control and other hotel service facilities under international guidelines.

Rosher charges USD 100 per hour for each of the staff assigned for using the trademark, Rosher's guidelines and hotel management service. In this regard Rosher has deputed 05 European staff from its human resource pool to Exotic Hotel Services Bangladesh Limited. Considering 40 working hours in a week for each of the expatriates, total royalty payment arrives at USD 1,040,000. Exotic has appointed you as its tax consultant. Rosher has also agreed to provide necessary support for the purpose of transfer pricing analysis. On your request, Rosher has provided you a total cost per hour per staff before interest and taxes of USD 80 with a certificate from its statutory auditor providing a reasonable assurance on the same. You have checked a European transfer pricing database for comparable data on net margin of similar service providers. You have found information of a similar service provider as detailed below.

Particulars	**Amounts in USD**
Royalty revenue	2,000,000
Direct labor	(800,000)
Operating expenses	(400,000)
Selling expense	(250,000)
Administrative expense	(100,000)
Interest	(50,000)
Profit before tax	400,000
Taxes @ 35%	(140,000)
Net profit after tax	**260,000**

The abovementioned figures have been arrived after converting the amounts from Euro to USD.

Bangladesh has a Double Taxation Avoidance Agreement (DTAA) with France. The management of Exotic Hotel Services Bangladesh Limited assuming that the payment would not attract any income tax in Bangladesh with respect to the DTAA whereas the authorized dealer bank is asking for withholding income tax at the time of outward remittance from Bangladesh. You have found the total amount of royalty charged by Rosher is within the threshold mentioned in Section 30(h) of the Income-tax Ordinance, 1984.

Requirements:

Considering the above, answer the following questions.

a) **(i)** Is the royalty income of Rosher Water Garden Hotel taxable in Bangladesh? Explain your position with the regard to the provisions of the Income-tax Ordinance, 1984. [Marks 2]

(ii) Is the royalty income subject to withholding income tax under the local income tax law? If yes, at what rate? [Marks 1]

b) (i) Would your answer be different re withholding income tax rate with regard to the provisions of the DTAA? If yes, explain your position. [Marks 2]

(ii) What course of action would you suggest to the management of Exotic Hotel Services Bangladesh Limited to avail the benefits, if any, under the DTAA? [Marks 2]

c) (i) Are Exotic Hotel Services Bangladesh Limited and Rosher Water Garden Hotel associated enterprise? If yes, explain why. [Marks 2]

(ii) Determine arm's length amount of royalties that may be allowed by income tax authority following Transactional Net Margin Method. [Marks 3]

(iii) Calculate the amount of transfer pricing adjustment, if any and the tax exposure. [Marks 2]

Answer to the Question# 5 (a) (i)

Yes, royalty income of Rosher Water Garden Hotel is taxable in Bangladesh because Rosher Water Garden Hotel is a non-resident entity in Bangladesh since it has been incorporated in France and its control and management is situated outside Bangladesh and according to section 17(1)(b) of the ITO, 1984, total income of an income year in relation to a person who is a non-resident, includes all income from whatever source derived, which is received or deemed to be received in Bangladesh or accrues or arises, or is deemed to accrue or arise, to him in Bangladesh during that year.

Section 18 of the ITO, 1984 provides guidelines when an income may be deemed to accrue or arise in Bangladesh. According to Section 18(6)(b) of the ITO, 1984, royalty is deemed to be income accrued or arisen in Bangladesh if it is payable by a person who is a resident and the person uses it for earning income in Bangladesh. Since the royalty is payable by a tax resident in Bangladesh (i.e. Exotic Hotel Services Bangladesh Limited) and an essential component for earning income in Bangladesh, such income is to be deemed to accrue and arise in Bangladesh and becomes chargeable to tax in Bangladesh.

Answer to the Question# 5 (a) (ii)

Yes, the royalty is subject to withholding income tax since the royalty income is chargeable to tax in Bangladesh. According to Section 56(1) of the ITO, 1984, it would attract withholding income tax @20% under Section 56(1) of the ITO, 1984.

Answer to the Question# 5 (b) (i)

According to Article 12 (2) of the Double Taxation Avoidance Agreement (DTAA) between Bangladesh and France, the royalties may be taxed in the contracting state in which they arise according to the laws of that state. Hence the royalties to be earned by Rosher Water Garden Hotel may be taxed in Bangladesh. However, according to the said Article, the tax to be charged shall not exceed 10% of the gross amount of royalties if the recipient is the beneficial owner of such royalties. Hence the withholding income tax on royalty payment to Rosher Water Garden Hotel may be reduced to 10% under the DTAA between Bangladesh and France.

Answer to the Question# 5 (b) (ii)

According to Section 56(2) of the ITO, 1984 where on an application made by an applicant, National Board of Revenue is satisfied that due to tax treaty or any other reason the non-resident is not be liable to pay any tax in Bangladesh, or is liable to pay tax at a reduced rate in Bangladesh, the Board may issue a certificate within thirty days from the date of receipt of such application accompanied by all the documents as required by the Board to the effect that the payment shall be made without any deduction or, in applicable cases, with a deduction at the reduced rate as mentioned in the certificate. Hence, it can be postulated that DTAA is not an automatic choice in Bangladesh.

The nonresident or a person on behalf of the non-resident has to apply before the National Board of Revenue with prescribed documents to issue a certificate allowing reduced rate of withholding income tax on the royalty payable. Upon receipt of the certificate mentioning the reduced withholding income tax rate of 10%, Exotic Hotel Services Bangladesh Limited may remit the money deducting income tax @ 10%.

Answer to the Question# 5 (c) (i)

Section 107A(2) of the ITO, 1984 provides the definition of Associated Enterprise. According to the definition, Rosher Water Garden Hotel and Exotic Hotel Services Bangladesh Limited may be considered to be associated enterprises to each other because of the following grounds.

a. Rosher Water Garden Hotel directly participates in the management of the enterprise by ensuring strict quality control;

b. Rosher Water Garden Hotel directly holds shares carrying more than twenty-five percent of voting power in Exotic Hotel Services Bangladesh Limited.

Answer to the Question# 5 (c) (ii)

Analysis of comparable data

Particulars	**Amounts in USD**	**Amounts in USD**
Royalty revenue		2,000,000
Direct labor	(800,000)	
Operating expenses	(450,000)	
Selling expense	(250,000)	
Administrative expense	(150,000)	
Total cost		(1,650,000)
Net profit before interest and taxes		350,000
Comparable percentage of net profit to total cost		21.21%

Determination of Arm's length price

Particulars	**Cell Ref.**	**Amounts in USD**
Total cost per hour of Rosher Water Garden Hotel Limited	(A)	80
Comparable net profit percentage	(B)	21.21%
Comparable net profit	(C)	16.97
Per hour rate with profit	(D)= (A)+(C)	96.97
Total work hours (5 persons× 40 working hours in a week × 52 weeks in a year)	(E)	10,400 working hours
Arm's length price with arm's length hourly rate	F=(D)×(E)	1,008,488

Answer to the Question# 5 (c) (iii)

Calculation of transfer pricing adjustment

Particulars	**Amounts in USD**
Royalty payable as per agreement	1,040,000
Royalty with comparable hourly rate	(1,008,485)
Transfer pricing adjustment/addition	31,515
Income tax impact @ 27.5%	8,667

Income tax impact is BDT 866,667 (8,667×100) assuming USD 1 equals to BDT 100.

6. Explain input tax credit (VAT rebate) eligibility under the following circumstances as per the VAT law considering other compliances were met in applicable cases:

a) Z Ltd, a manufacturing concern procured a new raw material from White Ltd worth Tk. 11,50,000 inclusive of 15% VAT to be used as a new ingredient for a regular product manufactured by it, which the goods have been received at its registered premises on 15th February 2023. The revised input output coefficient is yet to be submitted in this regard. For submitting the monthly VAT return for the month of February'23 in March'23, Z Ltd wants to claim the relevant VAT paid on purchase of this new ingredient. Can Z Ltd claim this input VAT rebate now? [Marks 3]

b) In January 2023, White Ltd imported certain raw materials for which Customs authority determined the assessment value on higher base compared to its declared value. Accordingly, under a provisional assessment, along with duties with higher value, the assessed VAT was Tk. 150,000 out of which along with duties, White Ltd paid Tk. 100,000 as cash and for Tk. 50,000 it furnished a bank guaranty with the consent of customs authority. To carry the goods from customs port to factory, it paid Tk. 1,10,000 (inclusive of VAT) to a Transport Contractor (service code S048) in the same month. Indicate the amount of VAT, White Ltd can claim as rebate in the month of January 2023 explaining the reason. [Marks 3]

c) In the month of February 2023 Shark Ltd, a manufacturing concern remitted Tk. 20,00,000 to a foreign testing laboratory abroad for providing analytical test report of its product sample sent to the foreign laboratory through courier. Being the nature of service is import of service and service recipient is responsible for payment of VAT, Shark Ltd deposited Tk. 300,000 through treasury deposit as asked by the concerned Authorised Dealer bank making the remittance. Now Shark Ltd wants to claim this VAT amount of Tk. 300,000 as input tax credit through this treasury deposit document only treating this similar like as Mushak 6.3. Can Shark Ltd do this? Explain. [Marks 3]

d) In the month of February 2023 Cloud Ltd, a manufacturing concern imported full cream milk powder from New Zealand at 20% increased cost caused by stiff increase of international market price and foreign currency devaluation, which resulted in increase of overall input cost by 15%. The VAT amount it paid for this import of milk powder was Tk. 72,00,000. Now Cloud Ltd wants to claim this VAT amount of Tk. 72,00,000 as input tax credit for the month of February 2023 monthly VAT return. Can Cloud Ltd do this? Explain. [Marks 3]

Answer to the Question# 6 (a)

As per section 46(1)(DA) of VAT & SD Act 2012, any ingredient, which is not declared in the Input-Output Coefficient, input tax credit will be allowed for such ingredient. Hence, in this case for ensuring allowability of the input tax credit of Tk 150,000 paid on purchase of the new ingredient, Z Ltd should first submit a revised Input-Output Coefficient incorporating the new ingredient. Only then Z Ltd can claim the input tax credit (VAT rebate).

Answer to the Question# 6 (b)

As per section 46(1)(JA) of VAT & SD Act 2012, for bank guarantee amount unless it is finally settled, no input tax credit can be claimed. For transport service, the applicable VAT rate is 10% and out of that, only 80% is claimable as input tax credit. Hence total amount that White Ltd. can claim as input VAT rebate for the month of January 2023 is as follows:

Particulars	Amount (Tk.)
VAT paid in cash under provisional assessment	100,000
VAT on Transport service Tk.10,000 X 80%	8,000
Total	108,000

Answer to the Question# 6 (c)

As per section 46(1)(KHA) of VAT & SD Act 2012 input tax credit on import of service is allowed only when an output tax on the same is disclosed in the return. The reason behind this for import of service, as defined under section 20 of VAT & SD Act 2012, the recipient of service has dual responsibilities, which are (1) act on behalf of the service provider and (2) simultaneously act as service recipient. Accordingly, the service recipient is obliged to consider the service as output VAT in its book and pay VAT accordingly, on the other hand being the service recipient claim this as input VAT subject to fulfilment of the other conditions of law e.g., incorporating this import of service in the Input-Output Coefficient as input cost.

Answer to the Question# 6 (d)

As per section 46(1)(DHA) of VAT & SD Act 2012 in case input cost is increased by more than 7.5% of the total input cost, unless a revised Input-Output Coefficient is submitted, excess amount exceeding the 7.5% input cost cannot be claimed as input tax credit. Hence, it would be wise for Cloud Ltd to submit a revised Input-Output Coefficient incorporating the latest cost including the milk powder cost to enable Cloud to claim the full input tax credit of Tk. 72,00,000.

7. Digestive Biscuits Industries Ltd is a manufacturer of popular biscuits brand HAPPY. Currently it is selling a 200g biscuit pack to its distributors (dealer) at a price of Taka 85.00 inclusive of VAT. For this pack distributor's margin including VAT was Taka 5.00, retailer's margin including VAT was Taka 10.00 and MRP was fixed at Taka 100.00. On 9th June 2022 during the budget announcement in the Parliament, the Finance Minister declared that there will be a supplementary duty @ 2% imposed on all sorts of biscuit products at manufacturing stage, which has been reflected in the subsequent SRO issued on the same day.

Considering the market competitiveness and affordability of the consumers, your company decided that it will not change its MRP, which means it will absorb the incidence of newly introduced supplementary duty (SD) by adjusting its selling price to distributor. The existing value addition of the product is 30%. There is no change in input cost after introduction of this new SD.

Requirements:

a) Compute the revised selling price to distributor without VAT and revised value addition % showing the full price structure up to MRP considering before and after scenario of total input cost, value addition, SD and VAT. [Marks 6]
b) What would be the effective date for levying such SD as declared in the Finance Bill? [Marks 2]

Answer to the Question# 7 (a)

Digestive Biscuits Industries Ltd

Product: Happy Biscuits **Pack Size: 200g**

Computation of revised selling price to distributor and revised value addition% showing the full price structure up to MRP considering before and after scenario of total input cost, value addition, SD and VAT

Particulars	Note	Rate	Before introduction of SD (Taka)	After introduction of SD (Taka)	Remarks
MRP			100.00	100.00	No change
Less: Retailers' margin	1		10.00	10.00	
Distributor's selling price to Retailers			90.00	90.00	
Less: Distributor's margin including VAT			5.00	5.00	
Company selling price to distributor			85.00	85.00	
Less: VAT	2	@15%	11.09	11.09	
Value for VAT after SD (if applicable)			73.91	73.91	
Less: SD	3	@2%	-	1.45	New SD introduced
Selling price to Distributor (excluding SD & VAT)			73.91	72.46	Changed for SD
Input cost (based on 30% value addition before introduction of SD)			56.86	56.86	No change
Value addition			17.06	15.61	Changed for SD
Value addition in %			30.0%	27.5%	Changed for SD

From the above computation it has been worked out as:

Requirement (i): Revised selling price to distributor without VAT will be Taka 72.46 (Taka 73.91prior to introduction of SD)

Requirement (ii): Revised value addition after introduction of SD will be 27.5%

N**ote**:

1. Retailers' margin = Taka 10 given in the question
2. VAT is paid on the SD paid value
3. SD is imposed before imposition of VAT

Answer to the Question# 7 (b)

SD should be applicable from the date of placement of Finance Bill:

As per Provisional Collection of Taxes Act, 1931 and supplementary duty introduced through Finance Bill is applicable from the date it is placed in the parliament. Hence, it will be applicable from 9th June 2022, when the Finance Bill was placed in the parliament.

8. Mr. Rafique Ansari was the head of IT operations of the largest cement manufacturer of the country. Previously he worked for the largest nation-wide optical fiber network provider company in Bangladesh

and different banks. Throughout his career in IT operations in diverse nature of industries, he has gained valuable expense in providing IT support in SAP ERP, Oracle ERP and banking software implementation and related solutions. Mr. Ansari has decided to exploit his knowledge and experience in IT sector and decided to start his own business. His company has all the regulatory registrations and already achieved accreditation from SAP and Oracle to implement and maintain the respective ERPs in Bangladesh. The company has been awarded an SAP ERP implementation Job for a plastic goods manufacturer. It has also received a work order for maintaining the Oracle ERP of a telecommunication company for five years.

The revenue and cost budgets for both of the projects have been provided below.

Particulars	SAP ERP Implementation in BDT	Oracle ERP maintenance in BDT
Contract value	55,000,000	120,000,000
Cost of service		
Salaries and allowances	(25,000,000)	(50,000,000)
Technical fees to SAP and Oracle	(9,000,000)	(18,000,000)
Import of software license	(4,000,000)	(7,000,000)
Legal and professional fees	(1,500,000)	(3,000,000)
Advertisement	(1,000,000)	(2,000,000)
Office rent	(1,500,000)	(6,000,000)
Electricity	(1,000,000)	(2,000,000)
Other overhead	(250,000)	(500,000)
Income tax (exempt from tax)		
Net profit	11,750,000	31,500,000

The contract value has been negotiated excluding VAT which will be borne by the client. All the expenses are inclusive of applicable VAT. Mr. Ansari is not actually content with the profit scenario since there may be many other incidental operating expenses during the course of the jobs which cannot be estimated/budgeted at this moment. However, he wants to work with and retain the clients to foster future business. Mr. Ansari knows that the VAT rate in Bangladesh is 15% and there is scope of input tax credit. However, the tax consultant of Mr. Ansari advised that the rate of VAT on contract value would be 5% and such VAT will be deducted at source by the client. There will not be any input tax credit. Supply chain department of clients are also urging for 5% reduced VAT rate. Mr. Ansari is little confused and has sought your advice if any optimization can be done from VAT perspective. He has conveyed you that if input tax credit can be availed, he may allow 2% discount to the clients provided that 15% VAT rate would not harm the clients.

Requirements:

a) Suggest Mr. Ansari that which one is the appropriate VAT rate for an IT service provider? [Marks 2]

b) Which output VAT rate would you suggest for Mr. Ansari? Support your answer with necessary analysis. [Marks 8]

c) What would be the rate of VAT deduction at source on contract value? Would it erode the profit from operations? [Marks 3]

Answer to the Question# 8 (a)

According to Section 15(3) of the VAT and SD Act, 2012, the rate of VAT on a taxable supply and a taxable import would be 15%. On the other hand, the 1st proviso to Section 15(3) of the VAT & SD Act, 2012 read with the 3rd Schedule to the VAT & SD Act, 2012 provide specific amount of VAT or reduced rate of VAT for supply of some specific goods and services. However, according to the 2nd proviso to the VAT & SD Act, 2012, a supplier may adopt and pay VAT @ 15% instead of the specific amount of VAT or reduced rate of VAT @ 5% as mentioned in the 3rd Schedule to the VAT & SD Act, 2012.

Hence it can be summarized that VAT laws in Bangladesh have provided option to the suppliers in some cases. In case the supplier of goods and services intend to take input tax credit, adoption of 15% VAT rate is mandatory. In case the supplier decides to forego input tax credit, he may choose reduced VAT rate. Hence, both 15% or 5% VAT rate is appropriate for IT service. Mr. Ansari has to choose any of them

Answer to the Question# 8 (b)

To provide a proper suggestion on selection of VAT rate, we need to check the position of profitability with input tax credit. If Mr. Ansari decides to adopt 15% VAT rate, VAT on procurement would no longer be the expense of his company. Because the company will be entitled to recover such VAT against output tax. The revised cost position with input tax credit is calculated as below.

Particulars	**SAP ERP Implementation in BDT**	**Oracle ERP maintenance in BDT**	**VAT rate**	**VAT factor**	**VAT on SAP ERP Implementation expense**	**Expense for SAP ERP excluding VAT**	**VAT on Oracle ERP maintenance expense**	**Expense for Oracle ERP excluding VAT**
Cost of service	(A)	(B)	(C)	(D)	(E)=(A)×(D)	(F)=(A)+(E)	(G)=(B)×(D)	(H)=(B)+(G)
Salaries and allowances	25,000,000	50,000,000	NA	NA	NA	25,000,000	NA	50,000,000
Technical fees to SAP and Oracle	9,000,000	18,000,000	15%	0.1304	(1,173,600)	7,826,400	(2,347,200)	15,652,800
Import of software license	4,000,000	7,000,000	15%	0.1304	(521,600)	3,478,400	(912,800)	6,087,200
Legal and professional fees	1,500,000	3,000,000	15%	0.1304	(195,600)	1,304,400	(391,200)	2,608,800
Advertisement	1,000,000	2,000,000	15%	0.1304	(130,400)	869,600	(260,800)	1,739,200
Office rent	1,500,000	6,000,000	15%	0.1304	(195,600)	1,304,400	(782,400)	5,217,600
Electricity	1,000,000	2,000,000	5%	0.0476	(47,600)	952,400	(95,200)	1,904,800
Other overhead	250,000	500,000	15%	0.1304	(32,600)	217,400	(65,200)	434,800
Ineligible input tax credit on office rent	-	-	-	-	-	195,600	-	782,400
Total	**43,250,000**	**88,500,000**			**(2,297,000)**	**41,148,600**	**(4,854,800)**	**84,427,600**

Notes:

1. To determine the VAT amount, amounts of expenses have been multiplied by VAT factor;
2. VAT factor is VAT rate/(1+VAT rate);
3. According to Section 2(18A) of the VAT & SD Act, 2012, rent of place and establishment is not considered as input. Hence, VAT payable on office rent is not eligible for input tax credit rather it forms a part of the expense;
4. VAT payable on other overhead is considered as eligible for input tax credit.

Calculation of impact on net profit

Particulars	SAP ERP Implementation in BDT	Oracle ERP maintenance in BDT
Contract value	55,000,000	120,000,000
Discount offered @ 2%	(1,100,000)	(2,400,000)
Revised total cost	(41,148,600)	(84,427,600)
Revised net profit	12,751,400	33,172,400
Budgeted net profit	11,750,000	31,500,000
Increase in net profit in percentage	8.52%	5.31%

Suggestion for Mr. Ansari:

The above analysis reveals that Mr. Ansari can achieve better profitability with 15% VAT output VAT rate. In addition, goods and services of both the clients attract VAT @15%. It means, whatever VAT is imposed on the services to be delivered by the company established by Mr. Ansari, the clients will be eligible for input tax credit provided the company issues legitimate tax invoice. The IT company has VAT registration and it has no problem in issuing tax invoice i.e. VAT form 6.3. Hence, the clients remain in a VAT neutral position irrespective of the VAT rate imposed by the IT company established by Mr. Ansari. On top of that the clients are getting 2% discount on contract value reducing their cost of doing business. As such, it is becoming a win win situation for the clients and the service renderer.

Considering the above, I would suggest Mr. Ansari for adopting 15% standard VAT rate.

Answer to the Question# 8 (c)

According to SRO No. 149-AIN/2020/110-VAT dated 11 June 2020 as amended by different subsequent SROs issued by NBR from time to time, the rate of mandatory VDS for payment for IT services is 5%. The SRO does not authorize the service receiver to deduct VAT in excess of 5%. Hence the service receivers, being withholding entity, would deduct VAT at source @5% from payment for IT service. This position would prevail even if the IT service provider issues tax invoice adopting 15% VAT rate. If VAT is deducted at source @15%, there would not be any output VAT left to adjust input tax credit. This would result piling up of refundable balance in VAT return which is not the purpose of the VAT laws.

The VAT deducted at source would not erode the profitability of the IT service providers. Rather the IT service provider company would be eligible for decreasing adjustment for the VAT deducted at source against its future VAT liability. According to Section 50(2) and 50(3) of the VAT & SD Act, 2012, adjustment is to be supported by certificate of VAT deduction at source and claimed within the tax period of receiving payment or three subsequent tax periods.

9. a) Hyundai Power Company, a registered company in South Korea, is planning to establish an Independent Power Company (IPP) in Bangladesh with a capacity to produce 100 MW of electricity per year. The company is currently reviewing tax and other fiscal incentives available for the IPP. During a discussion meeting, the representative of Hyundai Power Company discussed various issues, including the tax regime and business environment. While discussing tax incentives, they inquired about the VAT implications on royalty amounts. As a tax consultant, you are requested to discuss the rate and payment process of VAT on account of royalty payments to Hyundai Power Company, South Korea.

Requirement:
Explain VAT on royalty payment based on the given scenario. [Marks 5]

b) You are the tax consultant of Azhar Trading Company Limited, the sole distributor of an international tyre manufacturer company based in Italy. The tax manager of the company informed you about payment of VAT against some procurements in the month of February 2023 as mentioned below.

i) Payment of legal fee of BDT 345,0000 in cash. The legal counsel has provided a legitimate tax invoice;
ii) VAT assessed of BDT 3,600,000 on import of a consignment of tyres. The company has the original bill of entry in its custody. Due to shortage of place in the warehouse, the tyres have not been brought in the warehouse of the company rather temporarily stored in a rented warehouse;
iii) VAT paid on rent of showrooms BDT 2,500,000;
iv) Advertisement in a daily newspaper. The newspaper has provided tax invoice. Azhar trading issued account payee cheque in favor of the newspaper;
v) Telephone bill issued by BTCL, electricity bill issued by DPDC and invoice issued by Chattogram Port Authority for port charge. None of the service provider issued any legitimate tax invoice;
vi) Bill received from transport contractors of BDT 230,000 including 15% VAT for transporting goods (tyres) from Chattogram port to the warehouse and subsequent distribution of tyres from warehouse to showrooms. The transport contractor provided legitimate tax invoice.

Requirement:

The tax manager is confused if input tax credit can be availed against the above mentioned procurements. Advise the tax manager on the same. [Marks 6]

Answer to the Question# 9 (a)

In Bangladesh, Value Added Tax (VAT) is applicable to the supply of goods and services. "Royalty" refers to the consideration for the use or right to use any copyright, patent, design or model, plan, secret formula or process, trademark, or other similar property or right. Payment made for royalty and/or fees for technical services to Hyundai Power Company shall be considered as an import of service for an Independent Power Producer (IPP) under the purview of section 20 (Imported services reverse charged to recipient) of the VAT & SD Act, 2012.

As per section 20(1) of the VAT & SD Act, 2012, the supply of any imported service shall be taxable if (i) the recipient is a registered person who acquires such service in the process of economic activities and (ii) if such service is provided in Bangladesh in the process of an economic activity by a person who is registered/required to be registered, and such service is taxable at a rate other than zero-rated, and the recipient of such service gets credit for the entire amount paid as VAT.

Accordingly, VAT is payable by the service recipient for the imported service if the service recipient gets credit for the entire amount paid as VAT.

However, in terms of rule 3(4) of S.R.O. 240-Law/2021/163-VAT dated 29 June 2021 of NBR (VAT Deduction and Collection at Source Rules, 2021), in the case of a registered person, if a copy of the treasury challan is submitted to the bank after depositing VAT at the rate of 15%, then the bank will transfer the money to the non-resident without collecting VAT at source. Further, if a proper treasury challan is not available, or payable VAT has been underpaid, then the bank will collect the total VAT amount at the source, and the Bank shall deposit it to the economic code of the concerned VAT Commissionerate.

Considering the above, the IPP, being registered for the purpose of VAT in Bangladesh, is required to pay VAT @ 15% under the reversed charge basis. Specific exemption for power sector related to the import of service will not be applicable here.

Answer to the Question# 9 (b)

i. According to section 46(1)(ka) of the VAT & SD Act, 2012, input tax credit cannot be claimed on a supply if the consideration exceeds BDT 100,000 and the whole consideration is not paid in a banking or a mobile banking channel. Since the legal fee exceeded BDT 100,000 and was paid in cash, input tax credit cannot be claimed against the VAT paid on legal fee;

ii. According to 46(1)(Gha) of the VAT & SD Act, 2012, input tax credit cannot be claimed against the goods kept under the custody of another person. Since the consignment of tyres have not been brought in the warehouse of the company after customs clearance rather temporarily stored in a rented warehouse, input tax credit cannot be claimed against the VAT assessed at import stage. However, the company would be able to claim input tax credit if the goods are taken in the warehouse of the company within next four tax period;

iii. According to Section 2(18A) of the VAT & SD Act, 2012, rent of place and establishment is not considered as input. Hence, VAT paid on rent of showrooms cannot be considered as input tax. Accordingly, VAT paid on rent of showrooms is not eligible for input tax credit;

iv. VAT paid on advertisement can be claimed as input tax credit provided that according to 46(1)(Da) of the VAT & SD Act, 2012, advertisement expense has been disclosed in input output co-efficient submitted by the company;

v. According to Section 46(3)(Uo) of the VAT & SD Act, 2012, Telephone, electricity bill and invoice issued for port charge by the respective service providers are considered as tax invoice. Hence input tax credit can be claimed against the VAT paid on related bills and charges;

vi. According to Section 46(3)(Uo) of the VAT & SD Act, 2012, input tax credit can be claimed up to 80% of the VAT paid for transport of goods. Hence claim of input tax credit will be limited to BDT 24,000 (BDT 230,000×15/115×80%).

---The End---